
I
PENDING

THE DAO HACK

033 / 17 JUN 2016 / ETHEREUM / EPIC

REMAIN CALM.

A green octopus in a plum suit holds an Ether-marked bag while more tentacles reach into a stocked safe. Across the counter, an older clerk is still writing in a ledger marked PENDING. This imaginary bank makes a software flaw visible: funds keep moving before the first operation's bookkeeping is finished.

The DAO was an experiment in organising investment through code. Participants bought tokens with Ether and were meant to vote on projects to fund. On 17 June 2016, an attacker exploited a reentrancy flaw in its smart contract. A call back into the split function could move existing Ether again before the caller's token balance was reset. Repeated calls diverted funds into a child DAO. No new Ether was minted.

The diverted Ether was not immediately available to spend. Buterin's alert reported that the attacker could not withdraw it for at least roughly another 27 days. The bag in the octopus's arms compresses the diversion into a visual joke, rather than depicting unrestricted cash in hand. Buterin urged DAO token holders and Ethereum users to REMAIN CALM.

The vulnerable application ran on Ethereum; the exploit did not break the network's underlying consensus. On 20 July, a hard fork transferred DAO funds into a recovery contract. Others continued the original chain, later known as Ethereum Classic. That split belongs to the next chapter. This card stays with June's emergency and the danger of making an external call before finishing the contract's own accounting.

DETAILS IN THE ART

01 THE REACHING TENTACLES

Several tentacles reach for more bags while one is already held. They visualise reentrant calls inside an unfinished operation, not parallel transactions. The number of arms is not a historical call count.

02 THE PENDING LEDGER

The thin open ledger faces the clerk, who is still writing. PENDING evokes accounting left unfinished during the vulnerable call. The book and its single numeral are invented props, not an actual DAO record.

03 THE STOCKED SAFE

Ether-marked bags remain on both shelves of the open safe. These are existing reserves being diverted, not newly minted currency. The sacks do not depict immediately spendable proceeds from the child DAO.

04 THE ETHEREUM EMBLEM

The gold diamond above the counter places the story in Ethereum. It identifies the platform on which The DAO ran; the bank is fictional, and the flaw was in the application rather than Ethereum consensus.

SOURCE & ART NOTE

Buterin's 17 June alert records the recursive exploit, child DAO, waiting period and phrase. The DAO's code shows transfers and a reward call before the balance reset. The SEC's report, pp. 4 and 9 supplies context; the 20 July notice records the fork. Characters, bank, bags and ledger are fictional. Neither character identifies a real participant or attacker. The caption capitalises and punctuates the source's words.